



Serious escalation

The new U.S. law on Russian oil imports carries more legal weight

The U.S. Russia Sanctions Act, now signed into law by President Donald Trump, and its resultant impending tariffs, present a new and substantially different escalation of tensions between the U.S. and India. The law provides the U.S. President the authority to levy tariffs of up to 100% on countries such as India that import large quantities of Russian oil and gas. This is more serious than the penal tariffs that Mr. Trump had levied earlier. The escalation last year of reciprocal tariffs to 50% on India's import of Russian oil was based on an Executive Order, and could be rescinded through the same method. This latest Act has been passed by the U.S. Congress and so carries a higher order of legal permanence and authority. Mr. Trump will have to justify in writing to Congress any waiver he wants to provide. The 50% tariffs hit Indian exports to the U.S. hard, but the impact was somewhat mitigated by exporters sharing the cost with their American customers. That was, however, a financially devastating and unsustainable bid to retain customers. Sharing a 100% tariff will be impossible for India's largely micro, small and medium enterprises (MSME) exporters. The 100% tariffs are also over and above the 10% 'forced labour' tariffs and the 50% Section 232 tariffs on steel and aluminium. Indian exports to the U.S. will simply become too uncompetitive should these new tariffs come to pass. India has three options before it: cut Russian oil imports, retain those imports and bear the tariffs, or convince the U.S. to implement a low tariff using the "up to 100%" phrasing of the law.

Continuing with Russian oil imports and bearing the tariffs would be a significant blow to India's export ambitions and MSMEs. The U.S. is India's largest export destination, accounting for about 20% of its total goods exports. In any case, historical data have shown that India has usually complied with U.S. pressure to cut oil imports from particular countries, including from Russia, vocal claims of strategic autonomy aside. Finding other sources will be difficult. Russia accounted for more than 51% of India's oil imports as of July 2026, while supplies through the Strait of Hormuz remain constrained. India will have to chivy countries such as Oman to hasten their expansion of alternative ports. The price of oil remains well above \$100 a barrel, meaning finding favourable deals with new suppliers will be increasingly difficult. Union Commerce Minister Piyush Goyal will have much to do during his planned trip to the U.S. at the end of this month for the G-20 Trade Ministerial. There are still 30 days before the U.S. can levy its tariffs. India's ability to secure a low rate will be a true test of Prime Minister Narendra Modi's friendship with Mr. Trump.

Antidote to drugs

The government must tighten the monitoring of drug production

With the recent bust of a counterfeit medicine racket in Bengaluru, a public policy issue with broad ramifications for health care in the State has emerged. Centered around Bengaluru, relabelled or fake drugs, including cancer drugs, injections used in the ICU, were supplied to more than 90 hospitals and clinics across the State. The lid was blown off this elaborate scam after incidental raids, near Bidadi in Karnataka on August 18, found suspected fake drugs and expired drugs at a farmhouse which was an unlicensed unit. The consignment had a label value of ₹5 crore. Investigators said that the farmhouse was used in an illicit drug operation – involving the repacking of fake and expired drugs as fresh consignments, with altered expiry dates, and as expensive, imported branded drugs – which were then sold at massive discounts. The State later formed a Special Investigation Team to trace the wider network. While exploring the distribution mechanism, investigators found that the network had been supplying these drugs to over 90 hospitals in the State, in cahoots with a pharmacy in Bengaluru, indicating that a network was thriving well before the bust. A few persons have been arrested and the police are on the tail of another who is not in the country at present. The impunity with which the scammers were operating is an indication of the unreliable scrutiny of the quality of drugs in the market. The biggest concern, however, is patient safety, given that these are drugs that can save lives and are marked out for time-sensitive usage. Also being examined are possible inter-State links, as investigators have launched a complete review of the supply chain. The illicit channels through which private hospitals bought and used these drugs, including possible complicity in the private hospital network, are under scrutiny.

With alarming regularity, issues to do with poor quality, spurious, fake or expired drugs hit the headlines in India. For a nation that zealously aspires to become the 'pharmacy of the world', India struggles to match its ambition with adequate and stringent monitoring and quality control systems. The question of drug quality is particularly significant as fake or spurious drugs can cause immediate adverse reactions, lead to severe disabilities, and even death. Recent incidents of contaminated cough syrups causing deaths, not only in India, but across the world, have further highlighted these woefully inadequate systems and consistently dented the pride of the "Make in India" campaign. Irrespective of whether India becomes the pharmacy of the world, there is a pressing need to make sure that drugs and medical supplies made in the country fulfil the highest quality standards.

When the first Foreign Contribution Regulation Act (FCRA) was passed in 1976, a government of a different political hue was in power from the one that has now proposed the more fierce FCRA Amendment Bill, 2026. But the underlying political apprehensions were similar – the fear that foreign powers could destabilise the country by funding civil society organisations (non-governmental organisations or NGOs). In the present case, there is also an unstated fear of religious conversions by Christian and other religious minorities. The Bill is yet to be enacted because of strong reactions by the Opposition parties and several civil society groups, particularly Christian organisations.

The government claims that the flow of foreign funds into India's NGO sector operates as a vast, intricate and opaque web. Under the banners of development, human rights and social welfare, thousands of crores of unmonitored capital pour into the country every year. Much of this money deliberately bypasses state accounting mechanisms and finds its way into politically charged campaigns, highly selective local advocacy, and aggressive proselytisation and religious conversion networks.

Proposed legislation, the concerns

Under the proposed legislation, if an FCRA certificate is cancelled, surrendered or automatically lapses, foreign contributions and all assets created from them would vest in a government-appointed "designated authority". The organisation can recover the assets if registration is restored within the prescribed period. Permanent vesting will occur only if registration is not restored within that period. The Bill also provides for revision and an appeal to the District Judge.

If a fresh certificate is not obtained within the prescribed period, the assets could be sold or transferred to a government department, with the proceeds going to the Consolidated Fund of India. However, during the provisional-vesting period, restoration of registration results in return of assets and unused foreign contribution.

NGOs, especially Christian organisations, which the government says receive a larger proportion of the funds among religions associations, are worried that the legislation may not be religion-neutral and that, ultimately, the real sufferers would be the beneficiaries served by such charitable organisations, which have established and operate numerous schools, hospitals, old-age care homes and similar institutions. As some leaders from the northeast and tribal areas have pointed out, such institutions are sometimes the largest or only providers of these services in many areas.

Already, the FCRA registrations of 22,496 NGOs



Pushpa Sundar

The author of several books on philanthropy, with the latest title being 'Giving with A Thousand Hands: The Changing Face of Indian Philanthropy'

India's non-governmental organisations must navigate shifting foreign and domestic funding sources

have been cancelled since 2015, leaving about 14,466 active registered associations eligible to receive foreign contributions (Ministry of Home Affairs data, September 2026). In fact, the amounts received are larger than those in 2006-07 (₹12,289.6 crore from private international donors), the last year for which data were available when this writer wrote the book, *Foreign Aid for Indian NGOs: Problem or Solution?* (2010).

So why the protests? The fact is that different sources of funding have a differential impact on organisations and their effectiveness because, as the saying goes, "He who pays the piper calls the tune".

Though in total, the volume of foreign aid to NGOs is small compared with government budgets, and only a small proportion of NGOs receive such aid, it is highly valued because it is not only an alternative source of funding but also more flexible than government funding, with fewer restrictions on how it can be used. It is generally tailored to an NGO's needs through discussions between the NGO and the donor.

The book, *Foreign Aid for Indian NGOs*, which is based desk research and interviews with several NGOs, large and small, suggests that while a few organisations felt that foreign aid had adverse consequences, such as encouraging the adoption of ideas and practices from abroad that were unsuited to Indian conditions, most felt that foreign funds had contributed to India's development and, in particular, to the growth of the voluntary sector. They had brought in new ideas, techniques, technologies and organisational improvements. In the absence of adequate government funding and private philanthropy, foreign aid had played a positive role.

Need for funding diversity

Today, however, given political events in neighbouring countries and elsewhere in the world, and without being privy to the secret sources of information that the government has about the destabilisation role played by foreign money, it is difficult to pass a definitive judgment on the need for and value of foreign aid today.

There can be no doubt that a vibrant and independent civil society is necessary for a healthy democracy and for preventing the abuse of unrestrained political power by any one section of society. Plural sources of funding are also necessary to ensure that civil society is not dependent on any one source.

But equally, one can question whether foreign funds are the only answer to the needs of civil society today. First, the voluntary sector is more developed now. Second, the situation regarding foreign aid itself has changed. Bona fide foreign donors are themselves moving away from giving

to India because of their own economic difficulties and the perception that India, which is aiming to become the world's third-largest economy, no longer needs aid from them.

Third, the domestic non-government funding environment has also improved. According to the Forbes 2026 list, there are 3,332 billionaires in the world, of whom 229 are in India, giving it the third-largest number after the United States and China. The amount they donate to philanthropy has also increased. According to the India Philanthropy Report by Bain & Company, private philanthropy was projected to reach ₹1.43 lakh crore (\$16 billion) in FY 2025. In addition, there is retail giving of about ₹37,000 crore annually.

The downside is that, according to the same report, demand is growing faster than supply, with projections indicating that the gap could reach ₹18 lakh crore (\$210 billion) by 2030.

Moreover, new philanthropists, especially entrepreneurs and technology leaders, are shifting away from traditional areas towards ecosystem building, scientific research, higher education and complex institutional support.

This is undoubtedly good news for social and economic change, but bad news for NGOs delivering traditional education, health and social welfare services.

A glimmer of hope for such NGOs is that, following the Companies Act, 2013, which made corporate social responsibility (CSR) spending compulsory for companies above a certain size, CSR spending by such listed companies was ₹22,563 crore in FY25, up 17.5% (latest CRISIL report).

Since many companies do not have the internal competency to undertake social development, they rely on NGOs as partners. Although many companies are moving into environmental and other emerging areas, many still find the traditional areas of health, education and rural development more meaningful.

A new opportunity

So if, in the ultimate analysis, the government does decide to limit foreign funding, the future need not be bleak if Indian domestic philanthropy steps up to fill the gap.

However, indigenous donors, and the government in particular, must become more responsive to the needs of NGOs, learn from foreign donors some of the practices that made their aid so sought after, and engage in more serious dialogue on funding practices, as distinct from development issues, to improve those practices and address the dissatisfaction on both sides. Ultimately, it is the innate generosity that is dormant in hundreds of dedicated Indians that will change the dynamics of development in India, not foreign aid, which at best can be the cherry on the cake.

India's real rate moment, the cost of delay

India is approaching an uncomfortable turning point in monetary policy. With the Reserve Bank of India (RBI) holding the repo rate at 5.25% while inflation rises, the real policy rate is steadily losing its cushion. Consumer price inflation rose to 4.82% in August, from 4.45% in July, marking the third consecutive month above the RBI's target of 4%. Food inflation is even higher at 5.95%. Core inflation has also risen to around 4.2%, suggesting that price pressures are broadening beyond food.

A view on the real interest rate is not obtained simply by subtracting yesterday's inflation from today's policy rate. Monetary policy operates through expected inflation. If the repo rate remains at 5.25% while inflation expectations move towards 5.25%, the ex-ante real policy rate becomes approximately zero. That is a very different monetary environment from the one in which the real policy rate is comfortably positive.

Closer to zero real rates

India is now much closer to that point than it appeared after the August policy. The RBI maintained a neutral stance, while projecting FY2026-27 inflation at around 5%. However, the latest inflation reading has moved beyond the RBI's projected average trajectory for the year: headline inflation is already 4.82%, while food inflation is 5.95%.

Therefore, if inflationary pressure maintains the current momentum and external pressure aggravates, India could soon find itself in a zero real interest rate environment.

The risks surrounding that trajectory are hardly trivial. The monsoon remains an important source of uncertainty. More importantly, India is confronting a potentially powerful external inflation shock. Renewed conflict in West Asia has disrupted shipping



Saumitra Bhaduri

Professor, Madras School of Economics

The Reserve Bank of India faces a shrinking real-rate cushion as inflation rises and demand remains strong

through the Strait of Hormuz and pushed Brent crude above \$100 a barrel, with prices approaching \$110. The combination of higher oil prices, a weaker rupee and elevated global commodity prices creates a substantially more difficult inflation environment.

Falling real rates are often thought to stimulate demand and credit when the economy is operating below capacity. However, when demand is already healthy, and the inflation shock originates from supply and expectations, the same mechanism can amplify rather than neutralise inflation.

Banking system trends

India's banking system makes the issue even more interesting because the zero real rate is not transmitted symmetrically to borrowers and savers. Bank credit growth stood at 19.1% year-on-year at the end of August and remains exceptionally strong.

Deposits, however, have also surged. Deposit growth reached 17.8% at the end of August, the fastest pace in a decade, partly because of the RBI's special FCNR(B) mobilisation scheme. The increase therefore needs careful interpretation: it does not necessarily indicate that domestic households have suddenly become more willing to hold conventional bank deposits. Instead, much of the increase reflects foreign currency inflows under the special scheme. The credit-deposit ratio was around 80.3% at the end of August.

India is consequently experiencing strong credit demand even as banks compete for stable domestic deposits. Households increasingly have alternatives to bank deposits, including mutual funds and equities. When inflation rises, the real return on conventional deposits becomes less attractive, giving savers a greater incentive to

move towards market-linked assets, gold or other inflation hedges. Empirical evidence from India underscores the importance of this channel. RBI research on the earlier inflation episode found that rising inflation and inflation expectations reduced the real return on household financial savings. During the high-inflation period from 2010 to 2013, real returns on savings instruments became negative and household financial savings weakened, while demand for gold increased substantially. The correlation between gold imports and household inflation expectations was estimated at 0.83 over the period studied.

Therefore, did the RBI miss an opportunity to react earlier? A central bank should not raise rates simply because oil prices have increased. Yet, it must consider the risk that temporary inflation becomes embedded in expectations, wages, prices and credit.

That risk now looks more real. Inflation has remained above 4% for three consecutive months, and August's 4.82% reading was accompanied by a rise in core inflation to around 4.2%, while the one-year OIS rate is around 6%, signalling expectations of some future tightening. At the same time, GDP growth is running at 7.8%, and bank credit is growing at 19.1%. Demand is hardly weak.

The issue is about timing

A 5.25% repo rate may therefore appear restrictive in nominal terms, but offers increasingly little restraint in real terms. The real issue, therefore, is timing. In monetary policy, timing is an instrument in itself. A timely 25-basis-point adjustment may ultimately cost less than a delayed 50-basis-point correction. Importantly, the direction is clear – inflation is moving toward the policy rate while growth and credit remain strong. Perhaps the time has come.

LETTERS TO THE EDITOR

Climate action

India's lower per-capita emissions and progress on renewable capacity are significant, but climate responsibility cannot be discussed only through present-day averages (Front page, September 20). India's rising energy demand, urbanisation and industrial growth require a credible transition strategy. Greater investment in green public transport, energy-efficient buildings, storage technologies and

decentralised renewable power can reduce emissions. In addition, developed countries should provide predictable climate finance and technology access. In the end, a practical approach should combine equity, accountability and measurable targets, rather than competing narratives.

A. Myilsami,
Coimbatore

The real test

A 'bloated' medal tally at

the Asian Games is fine, but it can also create an illusion of sporting progress when several events lack Olympic-level depth. The real test remains the Olympics, where India's performance has repeatedly exposed the gap between regional dominance and global competitiveness. Celebrate medals, certainly, but measure sporting progress by performance against the world's best.

Harsh Pawaria,
Rohtak, Haryana

Immersions and lakes

I wish to highlight the severe environmental toll after idol immersions in Bengaluru's water bodies. The annual immersion of thousands of idols made of Plaster of Paris and painted with synthetic colours releases heavy metals such as lead and mercury into lakes. This can poison aquatic life, damage local flora and fauna, and introduce toxic substances into the human food chain through bioaccumulation,

posing serious health risks. Tradition and nature need not be in conflict. Citizens and organisers must consciously shift to natural clay idols and non-toxic colours to ensure that our celebrations preserve rather than pollute the environment.

Sowmiya Devi Rammohan,
Bengaluru

Dumping festival idols into our local lakes is getting out of hand. These huge structures are covered in

toxic chemical paints and made of Plaster of Paris, which pollutes the water. If we want to save our shrinking lakes and water bodies, the government must completely ban chemical paints and non-biodegradable materials. Our celebrations should not end up destroying the environment.

Shreshya Bhardwaj,
Bengaluru

Letters emailed to letters@thehindu.co.in must carry the postal address.